

THE BUZZ

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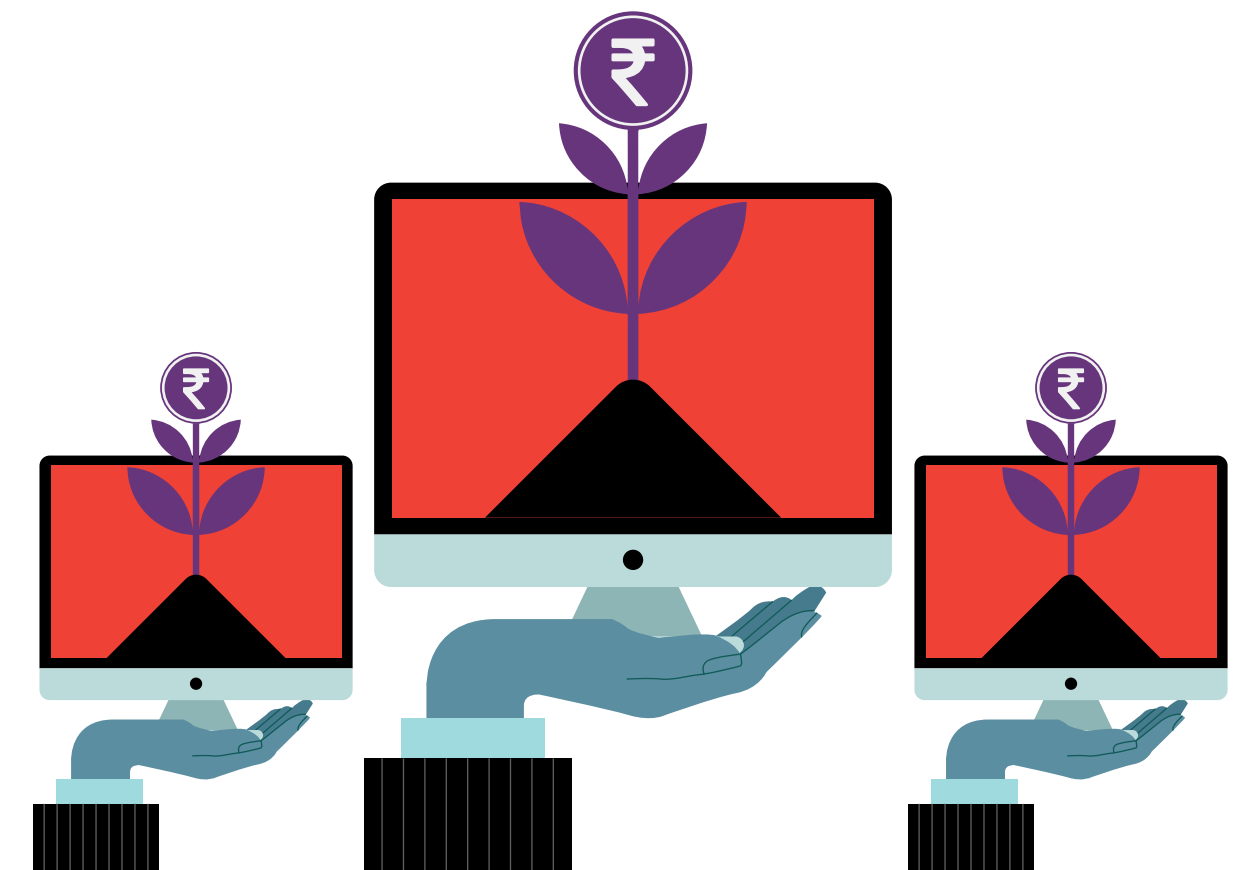


ILLUSTRATION BY RAJ VERMA

MUTUAL FUNDS

Back in Vogue

With several AMCs launching technology-focussed funds, the IT sector seems to have regained its allure

BY RAHUL OBEROI

► **AFTER A PROLONGED** period of underperformance starting in January 2022, the information technology (IT) sector is back in fashion among fund managers. Several asset management companies (AMCs), including Bandhan Mutual Fund, HDFC Mutual Fund, Axis Mutual Fund, and Quant Mutual Fund, have recently launched Nifty IT index funds or technology-focussed funds, per updates from the mutual fund industry.

While most growth stocks had a downturn in sentiment in 2022 as a result of the global central banks starting a cycle of

rate hikes, technology stocks in particular experienced a severe decline. Consequently, the Nifty IT index tumbled 15 per cent since January 2022, despite an 11 per cent recovery since the beginning of 2023. The benchmark NSE Nifty 50, in comparison, managed to gain around 16 per cent between December 31, 2021 and September 13, 2023. Mirroring the underperformance of the IT index, heavyweights such as Tata Consultancy Services (TCS) and Infosys are down 12 per cent and 23 per cent, respectively, from their all-time high levels, which they touched in January 2022.

“With the rising interest rates not having a dramatic impact on economic activity and tech spending as expected, coupled with the [recent] pause in the interest rate cycle, IT